

Little Reasons, Big Consequences

*Why Your Investment
Returns Stink*

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Little Reasons, Big Consequences: Why Your Investment Returns Stink

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Preface: Why This Book Exists

I didn't set out to write a book about investing behavior. I set out to build portfolios that worked and to help financial advisors explain them in a way clients could actually live with.

Like most people in this industry, I started with the math. Models, diversification, asset allocation, expected returns. If you put the right pieces together and give them time, the outcome should take care of itself. On paper, it almost always did.

In real client portfolios, it rarely did.

Early in my career as a portfolio manager, I watched intelligent, thoughtful clients make decisions that made no sense if you only looked at the numbers. They sold when they shouldn't have. They waited too long to act when they should have moved. They changed strategies at exactly the wrong moments. And they did all of it with explanations that sounded perfectly reasonable at the time.

Advisors will recognize this immediately. The calls come after drawdowns. The emails arrive after a stretch of underperformance. The questions aren't really about the strategy. They're about discomfort. At first, I assumed the issue was education. Maybe volatility wasn't being explained clearly enough. Maybe expectations weren't set properly. Maybe the solution was better charts, better meetings, better language.

So I explained more.

It didn't help.

Over time, the pattern became impossible to ignore. The problem wasn't information. It wasn't access. It wasn't even discipline in the way the industry usually defines it. The problem was that the investment process was designed as if people behave like machines, and neither clients nor advisors do.

I've seen this from both sides of the table. I've felt the urge to protect gains when markets were calm and reduce risk when things felt uncertain. I've second-guessed good decisions because they were temporarily uncomfortable. I've watched strategies I believed in look broken long before they ultimately worked. Experience does not eliminate these instincts. It just makes you more aware of them.

As my practice grew and I worked with more advisors and more clients, the same mistakes repeated themselves with remarkable consistency. Different markets. Different products. Different personalities. Same outcomes. The gap between theory and reality didn't shrink with experience. It became clearer.

That's when it became obvious that this gap isn't a flaw in investing. It's the defining feature of it.

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The numbers confirm this. Every year, Dalbar publishes its Quantitative Analysis of Investor Behavior. Every year, the conclusion is the same: investors consistently earn less than the investments they own. Not because the investments failed, but because the investors got in their own way. The gap is persistent, it is large, and it has not closed in over thirty years of measurement. Education didn't fix it. Better products didn't fix it. Technology didn't fix it. More information made it worse.

Most investment advice stops at the point where things become difficult. It explains what should work, but not how to stick with it when it doesn't feel like it is. Buy and hold is offered as a solution without acknowledging that it demands behavior most people cannot sustain without structure. Diversification is praised without discussing how it feels during long periods of underperformance. Risk is defined mathematically while being experienced emotionally by both clients and the advisors responsible for guiding them.

I've seen portfolios fail not because the strategy was wrong, but because the client couldn't live with it or the advisor couldn't keep committed to it. I've also seen unremarkable strategies succeed because they were designed in a way that made them survivable. Clear rules. Honest expectations. Fewer opportunities to interfere.

That difference is what this book is about.

I wrote this for financial advisors who are tired of having the same conversations every cycle and for clients who are tired of feeling like they're the problem. It's for people who have done the right things, avoided obvious mistakes, and still feel like outcomes fall short of what the plan promised. It's for anyone who has looked back at a decision and thought, *I knew better at the time*.

This is not a book about beating the market. It's about helping advisors and clients capture what the market already offers without getting in their own way.

If there's a single idea running through these pages, it's this: better outcomes come from understanding behavior first and building investment processes around it, not the other way around.

The market is hard. Investing doesn't have to be harder than it already is.

Chapter 1: The Buy-and-Hold Lie

Buy-and-hold works beautifully in theory. It works in academic models and long-term historical charts. It works when the investor is assumed to buy once, stay invested, and remain emotionally indifferent to volatility. Under those conditions, time smooths outcomes and compounding does its job.

Those conditions rarely exist.

Buy-and-hold is not wrong. It is incomplete. It explains how markets generate returns, but it does not explain how investors experience them. The missing piece is behavior — specifically, how people respond when markets become uncomfortable.

The strategy assumes that investors can tolerate drawdowns without reacting. History suggests otherwise. When markets decline sharply, investors do not experience volatility as a temporary feature. They experience it as risk, uncertainty, and potential ruin. Even investors who intellectually understand that markets recover struggle to remain passive when losses feel personal.

This is not because investors lack discipline. It is because buy-and-hold relies on willpower in environments designed to overwhelm it.

Consider what happens when the plan meets reality. An advisor builds a long-term allocation for a client. It is diversified, cost-effective, and designed with a twenty-year horizon. Both parties agree it is the right approach. The client signs the paperwork and says the right things. *I understand there will be drawdowns. I'm in this for the long run.*

Eighteen months later, markets drop twenty-five percent in six weeks. The client calls. They are calm but firm. Something has changed. They've been thinking about it. They want to reduce exposure until things settle down. Just temporarily. Just to be safe.

The advisor knows this is exactly the wrong time to sell. The client also knows this, on some level. But the conversation is no longer about strategy. It is about fear wearing a suit and speaking in complete sentences. Fear does not announce itself. It arrives disguised as caution.

The advisor faces a choice. Hold the line and risk losing the client. Or accommodate the request and lock in exactly the kind of damage the plan was designed to prevent. Neither option feels good. The client leaves the meeting feeling relieved. The portfolio carries the scar for years.

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This is not a rare event. It is the norm.

I've lived through versions of this conversation hundreds of times. One sticks with me. An advisor I worked with had a client — retired couple, plenty of assets, twenty-year runway on the portfolio. They had survived 2008. They'd been through the taper tantrum, the 2018 fourth-quarter selloff, all of it. Solid people. Patient people.

Then March 2020 happened. The pandemic hit. Markets fell thirty-four percent in twenty-three trading days. The couple called on a Wednesday afternoon and said they wanted to go to cash. All of it. They understood the math. They'd heard the argument to stay invested. They simply could not take the stress anymore. The wife was having trouble sleeping. The husband stopped eating breakfast. This wasn't about returns. It was about survival.

The advisor honored the request. What else could he do? The portfolio went to cash. The market bottomed four days later. By the time the couple felt comfortable returning, the S&P 500 had recovered over forty percent from its low. They reentered at prices higher than where they'd sold. The portfolio never fully caught up.

Nobody did anything wrong. The plan just assumed two human beings could sit still during a once-in-a-generation crisis. That's not a plan. That's a prayer.

Buy-and-hold without structure is just hoping the client doesn't pick up the phone.

During periods of market stress, investors reduce exposure, raise cash, or delay participation until things feel clearer. These actions are framed as prudent risk management. In reality, they frequently occur after losses have already accumulated and just before recoveries begin. Markets tend to recover faster than confidence does.

Buy-and-hold assumes that time alone solves this problem. In practice, time only helps if the investor remains invested throughout it — a caveat that is often understated.

Buy-and-hold also struggles during long periods of frustration rather than fear. The period from 2000 to 2013 is a case study. After the dot-com peak, buy-and-hold investors endured two devastating

bear markets in a single decade. An investor who bought at the S&P 500's peak in March of 2000 did not recover to breakeven for roughly thirteen years. Thirteen years of patience to end up where they started. The math eventually worked. The experience was brutal. Many investors quit before the math had a chance to prove itself.

Extended stretches of sideways or uneven performance test patience in a quieter way. When progress feels slow or nonexistent, investors begin to question whether the strategy still makes sense. The strategy is abandoned not because it failed, but because taking action felt necessary.

This is one of the most common failure modes in investing. Strategies are not discarded at moments of maximum danger, but at moments of prolonged discomfort.

The psychology here is worth understanding. Humans are wired for agency. We need to feel like we are doing something. Sitting still while markets decline triggers the same part of the brain that tells you to run from a predator. Buy-and-hold asks you to override that wiring with a spreadsheet. For most people, the spreadsheet loses.

Buy-and-hold offers no framework for navigating either scenario. It provides an expectation, not a process for handling discomfort.

Investors often hear that missing the market's best days is devastating. The numbers are striking. If you missed just the ten best days in the S&P 500 over a twenty-year period, your total return would be cut roughly in half. But this framing misses the deeper issue. The best and worst days tend to cluster during periods of extreme volatility. Investors who step aside during those periods often miss both. The real damage does not come from missing a few isolated days. It comes from leaving for emotional reasons and staying away too long.

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Buy-and-hold does not fail because markets are inefficient or because alternatives never work. It fails because it demands unstructured patience. It assumes investors can endure discomfort without guidance, rules, or reinforcement.

Patience without structure is not discipline. It is hope.

Successful long-term investing requires more than a belief in markets. It requires a framework that acknowledges how investors actually behave when conditions deviate from expectations. Until that gap is addressed, buy-and-hold will continue to work in theory and disappoint in practice.

Once again, the market is not the problem. Behavior is.